



Client's SOPs & SLAs

Version 1.0



SOP: Process	Code: OPS	Date: 01/01/2022
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Written by: H00		Verified by: Sales Ops
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who we are?

Diggipacks is a tech-startup that works as a 4PL logistics company from fulfillment to last-mile services for e-commerce owners and retailers



How does Diggipacks work?

the fulfillment process



How does Diggipacks work?

Last mile sequence



What sets us apart from the rest?

DHL

aramex
aramex

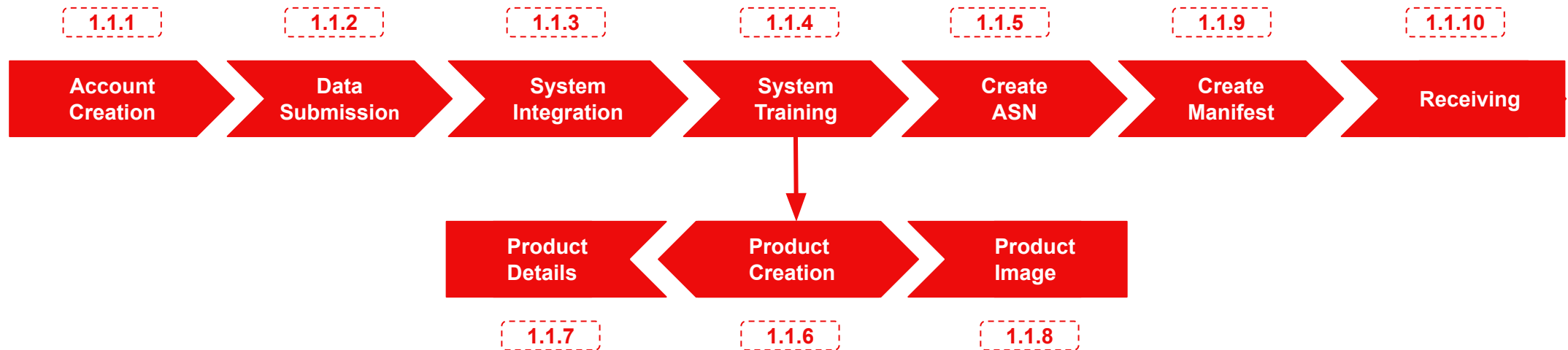
SMSA
Express

	competitors	diggipacks
Space & number of deliveries	Limited	Low limitation
Integration with systems	Limited	Fully integrated using different coding languages
Linking with shipping companies	Limited	Fully integrated using complicated algorithms
Specialty of storing & delivery	Limited specialties	Our bracket includes cosmetics, foods, medicine, electronics, cloth and more
Contract duration	Dated timeline with strict terms and limited space	Flexible contract durations plus variable space management depending on the need
Area coverage	Limited within specific cities	Covers most cities and regions
Pricing	Variable and changes from one company to another	Fixed prices for all services
Business models	Either pallet, eCommerce or space	All business models included

Onboard Process:

- This step describes how you will be onboarded to grow your business. Our system is capable of auto-product creation through our integration once you list your product in your website. However, it is important to review your new listed product under Product Management to avoid any missing information.

Onboard Workflow:



Onboard Procedure

- **Account Creation:** After signing the contract our team will create an account for you in our system.
- **Data Submission:** The client must upload the products or he should provide file to our team to fill in your products list and in this file we will need data for each product.
- **System Integration:** The client must inform about their platform and tech will integrate with DIGGIPACKS.
- **System Training:** Our talented team will meet you to train you on using our system.
- **Create ASN:**
 - Create Replenishment.
 - Import the file from the portal and fill the required product details and upload in one time.
 - Upload the Zip file contains images with SKU code and upload.
 - Create manifest for the products which you want to drop at our facility else pick up from your location.
 - All the products should be received with Labelling (Barcoding) else DIGGIPACKS will do it with an additional charge.
- To maintain faster receiving:
 - Print Manifest from Client Portal and attach with your shipment.
 - Palletized your shipment.
 - Put your SKUs in boxes (Each SKU in a box is highly recommended).
- **Product Creation:** In case there is missing product is not added or you wish to add new product to your selection so the new manifest will be created.
- **Product Images:** Mandatory to upload your product images to ensure improve Operations quality work and eliminate any errors or DIGGIPACKS will take the picture of your products to upload with an additional charge.



Onboard Exceptions:

- In case client prefer to not do the system integration. Then, client will have to use our Client Portal for manual process.

Prohibited:

- ▶ In case you have expiry product, then you need to mention the expiry date while creating manifest, this will allow our team to arrange your product in the FIFO manner.



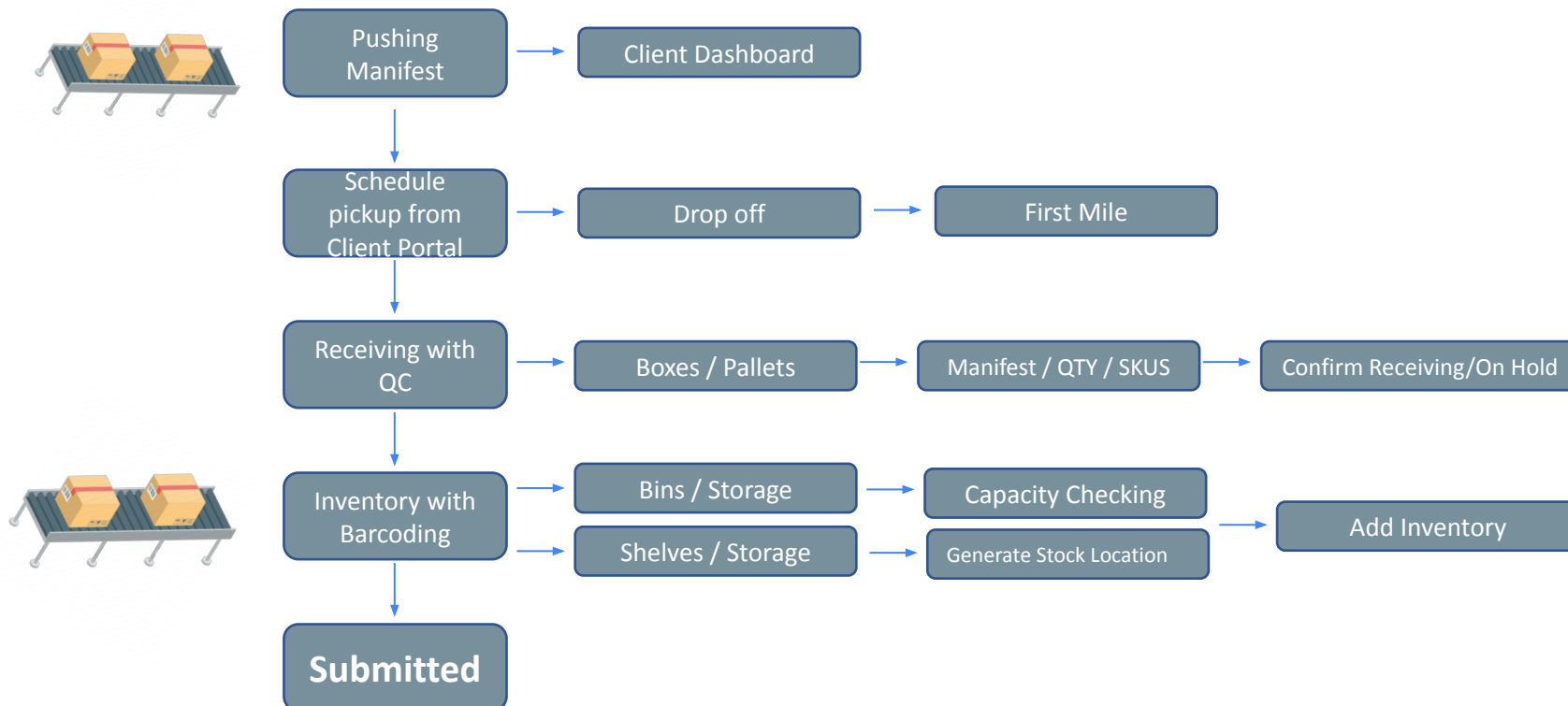
Inbound:

- This section describes usual process for receiving your products.

Replenishment:

- You should make manifest through the client portal from your side so we can compare expected QTYs & arrived or received QTYs.

Workflow:



Inbound Procedure:

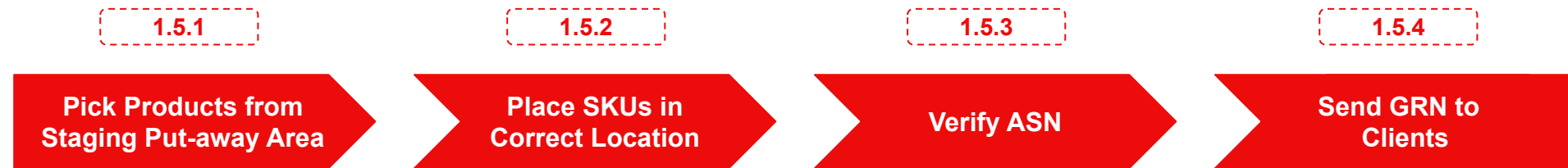
- After you create the ASN and shipping your products to our warehouse, offload is the first engagement between our operation team and your products. Our team will expect your products to arrive as per the scheduled manifest which you created through our client portal.
- New SKU will be scanned to get the exact dimensions and actual weight of your each SKU.
- In case of un-labelled items our team will print the barcodes for each item.
- At QC stage, we check the condition of your products to report any damages, missing and extra items or SKUs.
- If any product missing, damage or extra found based on the manifest then the whole manifest will be On Hold till we get the confirmation from the client within 12 hrs.
- Once receiving is done, Our team will stage your products at staging area to start put-away process.
- Receiving team will assign the manifest which is fully received to the inventory team for further processing.
- Receiving team will check the capacity of each SKU in BIN or SHELVE then they will submit in the system.
- Stock locations will be created automatically per BIN/SHELVE and the quantity will be added to the inventory.



Inventory:

- Description: At this section we will walk you through how your product will be stored in our facility.

Workflow:



Procedure:

- At this stage put-away team will pick-up your products to the storage area.
- Put-away team will place each SKU in the correct location assigned by our system.
- Once put-away team are done, then they will verify your ASN against what we have in the storage to ensure that we did not miss any item.
- GRN file will be automatically generated once the team confirm ASN process is completed.



Exceptions:

- Our inventory team will do one stock taking for the financial year purpose, if you require more than one stock taking you should share a request one month ahead. In case adjustment is required Inventory team will share variances with Account Manager to take the action.
- In case of stock adjustment our operation, our team will share adjustment request. And action will not be taken until we receive client approval.

SLA:

SLA	Ideal	Ideal Error Tolerance	Exception Error Tolerance	Exception	Additional Fees
Stock Take	3 Working Days	3%	5%	7 Working Days	TBD
Missing/Damaged to Compensation	7-15 Days	-	-	-	-
Holding area	48H	-	-	>48	TBD
Acceptable Shrinkage	$\frac{\text{(Missing or Damage Value)}}{\text{* (Holding stock total value)}}$				
	* Holding stock total value is for the last 30 days. With a maximum amount of SAR 10,000				

Prohibited:

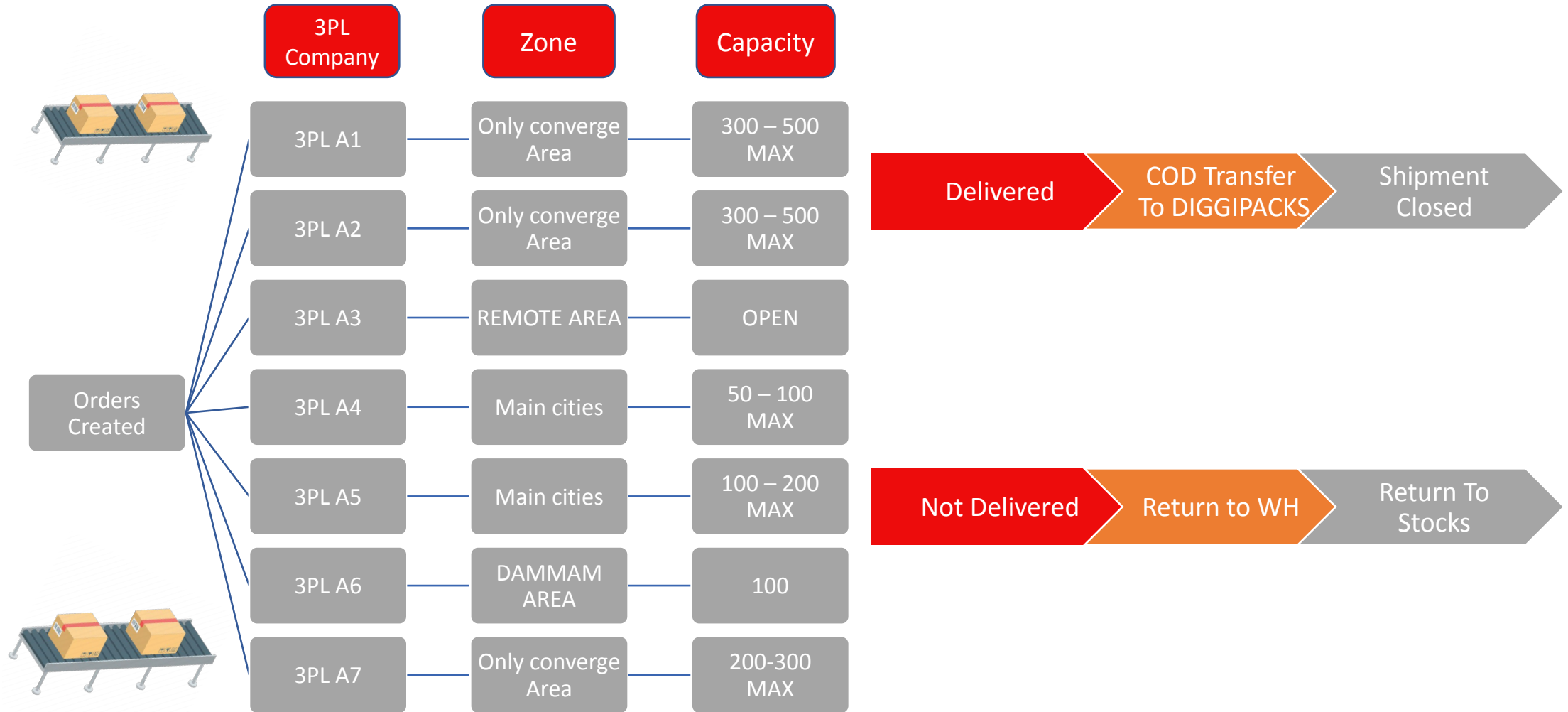
- ▶ Adjusting the inventory form the webstore will impact stock level in our facility.



Fulfillment Process – B2C



Segregation of Orders Based to 3PL – B2C



B2C Procedure

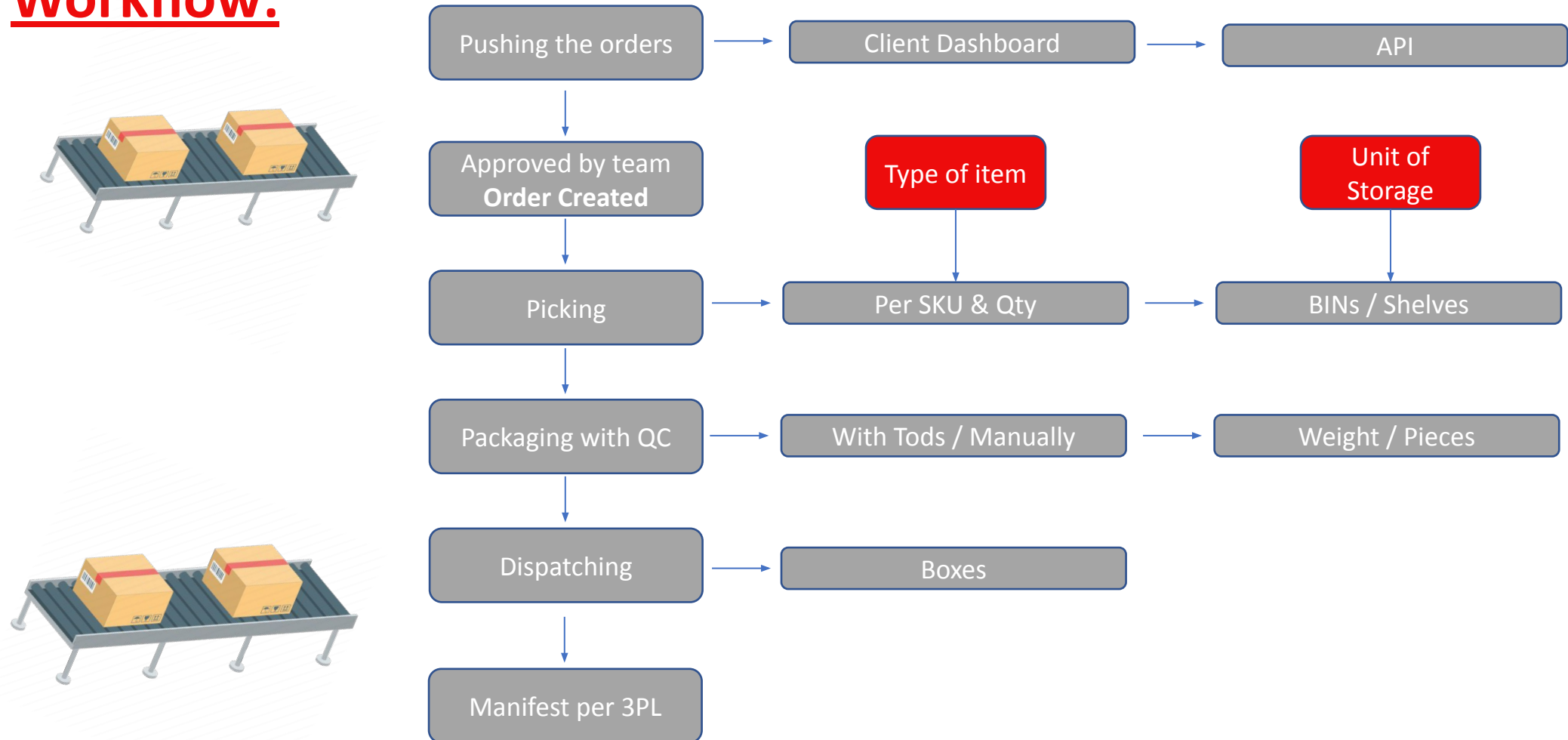
- B2C Account only for e-commerce orders.
- The storage must be Bins or Shelve (per day)
- The financial for B2C will be different of B2B like (picking – packaging – pallet charges – boxes – etc)
- The order must be not exceed more than 25 KG overall order.
- Only Boxes will be accepted for the concept of B2C.
- Receiving the stocks must be boxes / pallets (if boxes then will apply labors charges)
- Receiving as the boxes will require additional charges for the labors charges.



Outbound:

- Description: This section describes how your orders will be handled by our team from the moment we receive the order until the order get shipped.

Workflow:



Outbound Procedure:

- ▶ Once we receive order/s through client portal, The system will assign the orders automatically based on the picker's capacity.
- ▶ The pickers will receive the orders on their PDAs as soon as they will scan the batch of TODs to perform in multiple batches.
- ▶ Your order/s and validate the item/s picked are matching the order/s received through PDA device.
- ▶ Our QC team will validate the order and inspect the items are picked correctly and not damaged nor item/s missing.
- ▶ Item/s will be wrapped in bubble wrap to ensure that they do not get damaged during shipping handling if need. Then item/s will be packed in a box/pouch.
- ▶ Once the order is QC & packed, Shipping label will be generated, printed and labeled on the box/pouch.
- ▶ Packed status orders will be handover to our last mile team for delivery process.



Exceptions:

- DIGGIPACKS can do special packaging for clients if required.
- DIGGIPACKS can pack your order/s with your packaging material.
- In case of high seasons, Ramadan, Black Friday, campaigns, etc. DIGGIPACKS team should be informed of your plan to ensure capacity and to meet the SLA.
- For the international orders the invoice should be uploaded through the client portal to reflect against the orders with the declared amount of each product.

SLA:

SLA	Ideal	Ideal Error Tolerance	Exception Error Tolerance	Exception	Additional Fees
Picking to Dispatching	≤ 1PM orders will be dispatched to carrier within 24 hours	3%	5%	> 1PM orders will be dispatched to carrier within 48 hours	-
Missing/Damaged to Compensation	72 hours	-	-	-	-
Holding area	24 hours			>24	SAR 2.5 Per. Day



Prohibited:

- Clients who are using their own packaging to ensure enough stock available all the time as per your forecast. Otherwise DIGGIPACKS will pack your order/s with DIGGIPACKS packaging without per-alert.
- DIGGIPACKS will not dispatch any order with missing AWB details. To avoid this issue, you will have to make sure that all AWB details are correct.
- DIGGIPACKS is using our own system generated invoice for International shipments (Custom clearance).
- Clients can cancel the order while in status **Order Generated** from the client portal.
- Clients can request to cancel the order before packaging free of cost and after packaging with some additional fee.



Exceptions:

Before Addition to Inventory - B2C

Confirm Capacity

Sort the skus per tods

Generate Stock location per type of storage

Double check in the system & confirm the QTY

Add Inventory

Send confirmation to support

Before Receiving the Orders - B2C

Quality check

Counting the SKUs & QTY

Separate the SKUs

Double check

Highlight damage orders

Get confirmation from support to Inventory

Hand over to Inventory team

Before Assigning to Pickers - B2C

Check the orders of today

Filtering the orders per seller or System automatically assigned to the picker based to the capacity

Start assigning the orders to the picker / per seller

Generate the AWB'S before the packaging start



Before Order Packaging - B2C

Scan the TODs and confirm the qty

Separate the orders using the tods

Print the 3PL AWB when you confirm the qty of orders

Make sure to packaging the order in correct way.

Close the order and stick the label at the box.

Make sure to add the correct weight (actual weight or Dimensions).

Dispatch to 3PL

Making manifest per courier company

Before Order Dispatching - B2C

Make sure to segregate the orders for specific 3pl company

Make sure to hand over the correct orders to 3PL

Make sure to let the driver sign as Proof of pickup

Make sure to let the driver scan the orders from warehouse and updated

Make sure to send report to the leaders to confirm dispatching to 3PL



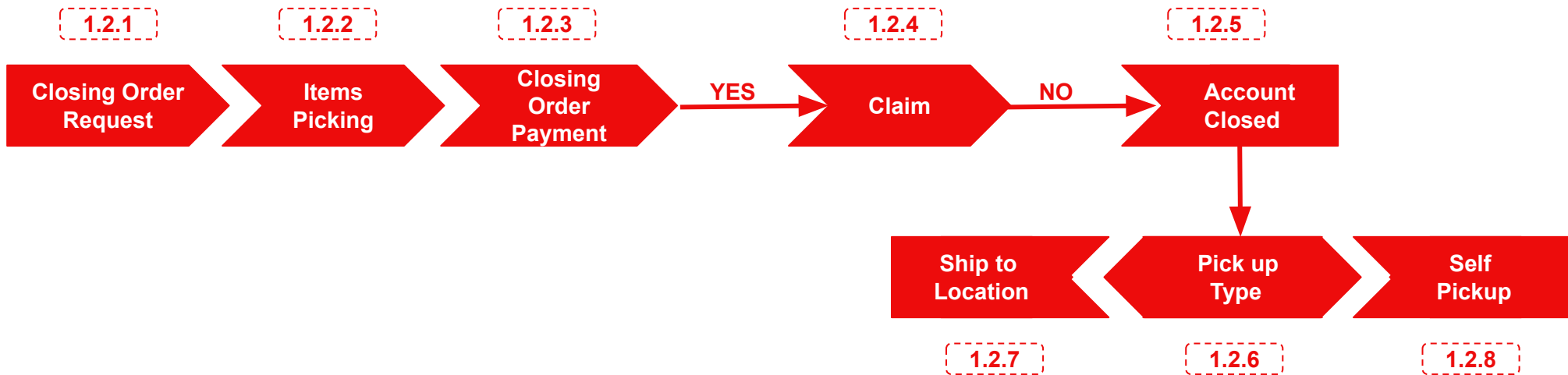
Financial Module for Companies - B2C

Additional Fees for Companies	Types of fees	Remarks
	Pickup	The client will request pickup service to collect the stocks from their location to Diggipacks warehouse
	Inbound	Charges applied when ever you add item through manifest or from item inventory.
	Outbound	Charges Applied whenever you dispatch order from fulfilment system, you can also add number of quantity to be included in one outbound charge
	Daily Space Rental	System will charge the client per Bin/Shelf/Pallet on a daily basis fix price
	Packaging	Whenever the Packaging is done through Packaging process, This charges will be applied
	Special Packing Seller	Add Charges if you are going to use your own Packaging Material
	Inventory	When you add item inventory, through excel or single, this charges will be applied
	Client Portal	Client Portal Charges will be free of charge.
	Barcode Printing	Whenever the Barcode is printed, from item management this charges will be applied per Print
	RTS	The orders which not delivered by 3PL and return to the warehouse as return to stocks

Closing Account Order:

- Description: Closing orders describes two scenarios, one of which client deciding to pull out old stocks from his/her inventory and the other scenario is client desiring to close his account with DIGGIPACKS.

Workflow:



SLA:

SLA	Ideal	+	Exception	Additional Fees
Order to Packed	7 days	3 days	5%	Handling Fee
Packed to Shipped	2 days	1 day	-	Same as delivery Charge

Prohibited:

- ▶ After gathering the items, it will be transferred to the holding area. For the first (24hrs) it will be free of charge in case of self pickup. After the first (24hrs) it will be chargeable. After 1 month DIGGIPACKS will have the right to take any action on the items.
- ▶ In the peak seasons like Ramadan, White Friday, Black Friday & etc, Closing order request should be made minimum before a month.



Client Forecast:

- Description: Forecast is used to build operation capacity and request materials that are used to serve our clients. Client's information is top **priority** to DIGGIPACKS so not of your information will be share with other.

Workflow:



Procedure:

- Account manager will request forecast data (Number of orders expected, Number of items replenishment/s of each existing SKU/s, Number of items replenishment/s of each new SKU/s, marketing campaigns starting and ending dates, etc.).
- Once this data is ready from client, he/she should share it with his account manager only to maintain privacy.
- Forecasted data will be share internal without mentioning client details, to build operation and shipping capacity as well as requesting materials from our suppliers to maintain high service level.

Prohibited:

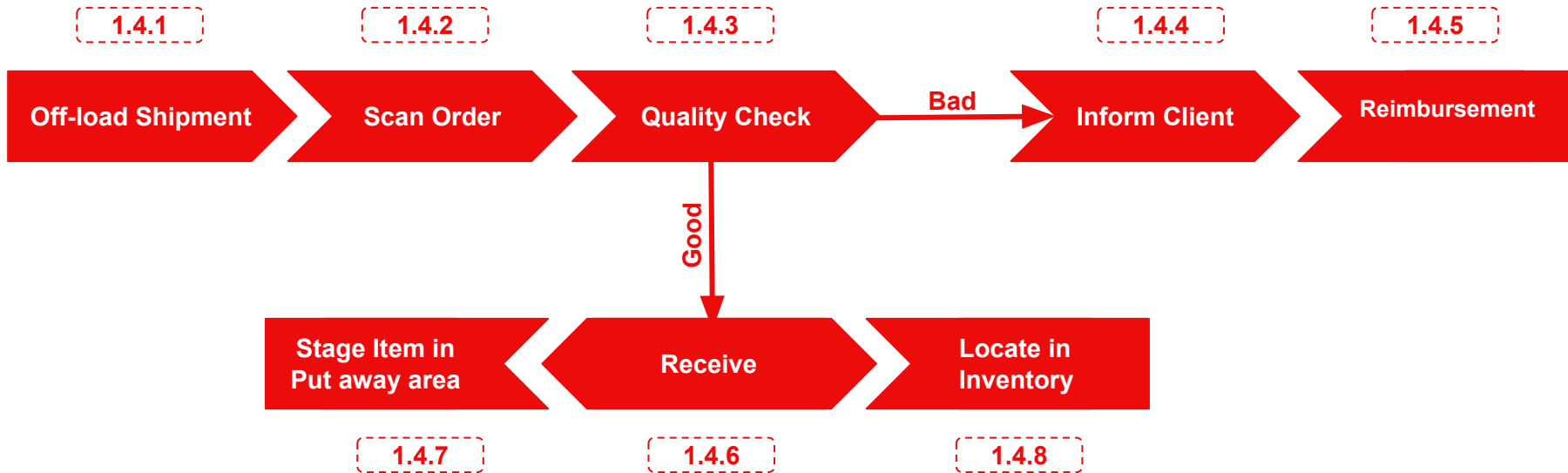
- Missing forecast data will lead to lower service levels.



Return:

- Once we will get your shipped shipment as return from customer end or 3PL with any reason so we will do start our return process.

Workflow:



Procedure:

- Once return orders arrive to our facility, our operation team will off-load your return orders.
- Return team will scan your order to generate its information in the system to start the return process.
- After we open the package our QC team will verify your product's quality/quantity to ensure that your product is not damage or missing.
- In case there is damage in your products we will raise reimbursement claim to the shipping company on the damage products only (Non delivered shipment).
- If we find damages in reverse shipment from the customer side the return will align with clients.
- Once QC team checked your product and stated that it is in good condition, they will receive it as good in the system.
- Once receiving is done, our team stages your products at staging area to start put-away process.



Exceptions:

- SKUs with backorders will be given the priority on receiving.
- In case of high seasons, Ramadan, White/Black Friday & etc. DIGGIPACKS team will share a build-up plan before the season to ensure receiving all your products within the SLA and to avoid delaying your products receiving within the season.
- In case of International shipment our Inbound team will off-load your shipments then will share with you the receiving lead-time based on workload. However, Client is responsible of updating with his/her account manager once shipment is cleared from Saudi customs and under delivery to our facility.
- Choosing DIGGIPACKS first mile will give you a priority on receiving.
- In case of extra/damage/rejected items resulting from both returns and replenishment will be placed in holding area till 48H then if we will not get any response we will ship/send back to client.

SLA:

SLA	Ideal	Ideal Error Tolerance	Exception Error Tolerance	Exception	Additional Fees	Remarks
Receiving to Shelf	72H	3%	5%	96H	-	Based to Quantity
Return to Shelf	48H	3%	5%	72H	-	-
Holding area	24 hours	-	-	>24	-	-

Prohibited:

- ▶ Arriving at the chosen date and given time is important, to receive your replenishment within the promised SLA.
- ▶ All replenishments need to be palletized and it must be in boxes and if the replenishment is less than a pallet, it must be in boxes. For unpalletized boxes that are more than pallet, extra fees will be charged and will be shared by DIGGIPACKS team.
- ▶ Every pallet needs to be labeled with packing list stating number of boxes on it.
- ▶ Every box needs to be labeled with packing list stating number of SKUs and items of each SKU.
- ▶ Replenishments arriving without manifest and pre-alert will not be off-loaded. (Need to discuss with sales)
- ▶ Receiving of any item (replenishment or returns) which has 1 month or less in expiry, item/s will be moved to holding area and client will be contacted to advise on the item's condition.



Special Process with 3PL

SLA:

SLA	Ideal	Ideal Error Tolerance	Exception Error Tolerance	Exception	Additional Fees	Remarks
Receiving to Shelf	72H	3%	5%	96H	-	Based to Quantity
Return to Shelf	48H	3%	5%	72H	-	-
Holding area	24 hours	-	-	>24	-	-

Prohibited:

- ▶ SMS is getting send to the customers in case of unsuccessful delivery to let them know the reason
- ▶ Our auditors are making sure to audit each and every order which created in system or shipped with 3PL companies to avoid delays and wrong updates
- ▶ The orders will be Returned to our facility by 3PL companies only after the confirmation of Auditor
- ▶ 3PL companies are sending Pre-Alerts before dropping off the Return orders to our facility
- ▶ Daily performance reports including problematic orders are being sent to 3PL companies to push them to generate more productivity
- ▶ Problematic orders should be reported within 48 hrs maximum since created in our system. (Like: Wrong Mobile / Wrong Address / Wrong Destination / Wrong Receiver Details / Wrong COD / Wrong SKU / Out of Stock / International Order Invoice)



Thank
you
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